

ADF Foods Ltd

Concall Tracker — do the earnings calls show a durable earning trigger, and has management stayed consistent about it?

Screener ticker: ADFFOODS | 12 most-recent earnings calls read (Aug 2023 → May 2026, ~3 years) | Report date: 5 July 2026 | All figures in Indian rupees (₹); "cr" = crore = 10 million

1. Snapshot

What the business does: ADF Foods makes ready-to-eat Indian and South Asian packaged food — frozen curries, frozen breads (naan, paratha), ready-to-eat meals, pickles, chutneys, sauces and spices. It is essentially an **exporter**: it manufactures in India (plants at Nadiad and Nashik in Gujarat/Maharashtra, plus a new plant at Surat) and sells the food overseas under its own brands. The flagship brand **Ashoka** serves the Indian community living abroad (the "diaspora"); **Truly Indian** is the newer brand aimed at non-Indian "mainstream" American shoppers; **ADF Soul** is a small brand for the Indian home market. The company also runs a side "agency" business distributing other companies' products (mainly Lipton/Unilever teas) and a business-to-business / private-label business (making food that other brands sell under their own name).

₹3,520 cr

Market value of the company (what the whole business is priced at on the stock market).

₹683 cr

Total sales in the year to Mar 2026 (consolidated — the whole group, including overseas arms). Up ~16% on the prior year.

₹97 cr

Net profit for the year to Mar 2026 (before a one-time charge). Up ~40% — the actual money earned after all costs and tax.

19.1%

Operating profit margin (consolidated) — ₹19 of operating profit for every ₹100 of sales. Up from 16.7% last year.

24.8% / 18.5%

Return on capital / return on equity — how much profit the business makes on the money put into it. Both healthy.

Debt-free

The company owes no net borrowings and sits on ~₹78 cr of spare cash. Price-to-earnings ratio ~34× (investors pay ₹34 per ₹1 of yearly profit).

Note on the numbers: Screener's downloadable financial tables are the *standalone* India company only (sales ₹414 cr FY24 → ₹478 cr FY25 → ₹528 cr FY26). Management reports and guides on the *consolidated* group (which adds the overseas selling arms), so this report uses the consolidated figures management quoted on the calls. The gap between the two used to be a drag (the overseas arms lost money while building the Truly Indian brand) but that gap has now largely closed.

2. Concall coverage

ADF Foods holds an earnings call every quarter. All 22 transcripts on Screener were downloaded; the newest (Q4 FY26, 14 May 2026) was present — **no gap on the latest call**. The 12 most recent were read in full, covering three full years:

Quarter	Call date	Read?	Quarter	Call date	Read?
Q1 FY24	Aug 2023	Yes	Q3 FY25	Feb 2025	Yes
Q2 FY24	Nov 2023	Yes	Q4 FY25	May 2025	Yes
Q3 FY24	Jan/Feb 2024	Yes	Q1 FY26	Aug 2025	Yes
Q4 FY24	May 2024	Yes	Q2 FY26	Nov 2025	Yes
Q1 FY25	Aug 2024	Yes	Q3 FY26	Feb 2026	Yes

Q2 FY25	Nov 2024	Yes	Q4 FY26 (latest)	May 2026	Yes
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"FY26" = the financial year ending March 2026. Q1 = Apr–Jun, Q2 = Jul–Sep, Q3 = Oct–Dec, Q4 = Jan–Mar.

2b. Latest concall highlights — Q4 FY26 (14 May 2026)

- **Best-ever quarter and year.** Sales in Jan–Mar 2026 were ₹196.7 cr — an all-time high, up 23.7% on the same quarter a year earlier (nearly a quarter more revenue). Full-year sales ₹683 cr, up ~16%.
- **Profit jumped.** Full-year net profit (before a one-off charge) was ₹96.8 cr, up ~40% — much faster than sales, because margins improved. Operating margin rose to 19.1% from 16.7% (₹19 vs ₹17 of operating profit per ₹100 of sales).
- **Truly Indian (US mainstream brand) is the standout.** It is now stocked in ~3,000 US stores (Costco, Whole Foods, Safeway-Albertsons, Stop & Shop, H-E-B, Raley's) and won two US food awards for its naan breads. This is management's biggest growth bet and it is running ahead of plan.
- **New Surat factory started.** The greenfield (built-from-scratch) frozen-food plant began commercial production in March 2026 — years in the making. It should add ₹40–50 cr of sales this year and up to ₹200–250 cr at full capacity.
- **One real headwind — the Middle East war.** The Gulf (GCC) region is ~15% of sales and was ~80–85% cut off in Mar/Apr because ships weren't sailing. Management warned that if the Gulf stays shut, FY27 growth could be only 12–15% (≈₹800–850 cr) instead of the ₹925–1,000 cr goal.
- **Tone:** confident on the core business and margins, but openly cautious about the war and its effect on the ₹1,000 cr target. Dividend of 60% of face value declared; balance sheet still debt-free.

2c. Business mix & capacity (quick-glance)

Where sales come from: This is almost entirely an **export** business — roughly **99% overseas**, ~1% **India** (the India "Soul" brand is tiny, only ~₹6 cr a year). The US is the biggest market, the UK is ~20% of the standalone India company's sales, Europe and Australia are growing, and the Gulf/Middle East is ~15%. Plain read: ADF earns its money selling Indian food to people abroad, not to shoppers in India. By type, ~70% of sales are ADF's own brands and ~30% is business-to-business / private-label (making food for others). *Management does not break out a clean India-vs-export percentage — the ~1% India figure is inferred from the Soul brand's stated run-rate.*

Factory usage: The two existing plants (combined 28,000 tonnes a year) run at ~70–75% on average, with some product lines already at 100%. Plain read: there is still ~25–30% room to grow output before hitting the ceiling — and the new Surat plant (~10,000 tonnes, started March 2026, expected ~35–40% used in FY27) adds fresh headroom on top.

3. Earning Trigger thesis ★

Management's central promise, repeated on every call for three years, is simple: **roughly double the group's revenue every three years toward ₹1,000 cr, while keeping the operating margin in the "high teens."** The engine behind that has several parts working together: (1) the flagship **Ashoka** brand keeps growing ~20%+ by selling more products into the same diaspora stores and new countries; (2) **Truly Indian** cracks the far larger non-Indian "mainstream" US market (Costco, Whole Foods, etc.) — the brand management believes can eventually be "as big as Ashoka"; (3) a shift toward higher-margin **frozen food** (now ~40%+ of sales, the fastest-growing category) lifts profitability; and (4) new **capacity** (Surat plant + debottlenecking of existing lines) removes the ceiling on how much they can sell. The evidence is real:

consolidated sales rose from ₹520 cr (FY24) to ₹683 cr (FY26) and profit from ₹74 cr to ₹97 cr, with margins expanding in FY26.

Trigger	What management said	Evidence so far	Time horizon	Strength
Ashoka (diaspora brand)	Grows high-teens to 20%+ by deeper store penetration + new markets (Australia, Europe)	Grew ~30% for years; US went flat in FY25 (sales-team fix done), recovering in FY26	Ongoing	Strong
Truly Indian (US mainstream)	Can become "as big as Ashoka"; targets the huge non-Indian US market	Scaled from tiny base to ~3,000 US stores; ~4× growth in FY25; won 2 US awards; ~\$4.5M and rising	3–5 years	Strong (still small)
Frozen-food mix shift	Frozen is higher-margin and fastest-growing	Now ~40%+ of sales; helped lift FY26 margin to 19.1%	Playing out now	Strong
Surat greenfield plant	New frozen plant, up to ₹200–250 cr revenue at full run	Started production Mar 2026 (~6 months late); ₹40–50 cr expected FY27	2–3 years to full	Moderate (just started)
ADF Soul (India home market)	Originally ₹100 cr in 3–4 years	Underperformed; only ~₹6 cr/year; target cut to ₹50–75 cr	Pushed out	Weak
Agency / distribution (teas)	Would grow to ₹100 cr+; steady ~12–14% margin	Stagnant for ~5 years (supply issues from Unilever→Lipton handover); recovering FY26 with full-US rights	Recovering	Moderate

4. Management Consistency scorecard

The table below tracks what management promised in earlier calls against what actually happened.

Period / theme	What was promised	What actually happened	Verdict
FY24–FY26 revenue	Roughly double every 3 years; ₹1,000 cr by FY27	Grew strongly (₹520→683 cr consolidated) but not quite doubling; ₹1,000 cr FY27 now hedged to "₹925–1,000 cr", downside ₹800–850 cr if Gulf war persists	Partly
Profit margin	Keep operating margin in the "high teens" (consolidated)	Delivered: 20.2% (FY24), dipped to 16.7% (FY25) on brand spend/freight, back to 19.1% (FY26)	Delivered
Truly Indian brand	Scale it up in the US; "same potential as Ashoka"	Delivered ahead of plan — ~3,000 stores, big chains, awards, ~4× growth	Delivered
ADF Soul (India)	₹100 cr revenue in 3–4 years	Missed badly — ~₹6 cr; "gone back to the drawing board"; target cut to ₹50–75 cr	Missed
Surat greenfield plant	Operational by Sept 2025	Slipped to H2 FY26; finally started Mar 2026 (~6 months late)	Partly
Distribution / agency (teas)	Return to growth; ₹100 cr+	Flat for ~5 years (shareholders repeatedly noted profit "same since Dec 2022"); management owned it; now recovering with full-US tea rights	Partly / Too-early

Nate's & PJ's (old US brands)	Comeback / restart in FY24	Quietly dropped — no supplier found; stopped being discussed	Dropped
Debt-free + dividends	Fund growth from own cash, stay debt-free, pay dividends	Delivered — still net debt-free, paid dividends every year	Delivered

Narrative drift: The core story has been remarkably steady for three years — export-led growth, Ashoka as the flagship, Truly Indian as the new engine, frozen food and margin discipline, and the ₹1,000 cr direction. Management is also unusually **honest**: they openly admit the Soul brand and the distribution business have disappointed, and they explain margin dips plainly (freight costs, the Red Sea then the wider West Asia shipping disruption, brand-building spend). The blemishes are real, though: the India (Soul) brand has been a multi-year miss, the distribution business was stagnant for years, and in the most recent call the headline ₹1,000 cr FY27 target was softened into a band with a clear downside scenario. So the story is steady and truthfully told, but the record is mixed on the smaller/newer bets and the flagship target is now being walked back.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a concrete, still-live, multi-legged driver, and it is visibly working. Sales and profit have both grown strongly over the three years read (consolidated revenue ₹520 cr → ₹683 cr, profit ₹74 cr → ₹97 cr), margins expanded in FY26, and the biggest growth bet — Truly Indian in the US mainstream — is scaling faster than planned (~3,000 stores, national chains, industry awards). Add the higher-margin frozen shift and the new Surat plant, and the runway is real, not hypothetical. The one weak leg (the India Soul brand) is a tiny part of the pie. The main risk to the trigger is external, not the story: the Gulf war (~15% of sales) could cap next year's growth. But the underlying engine is durable — hence YES.

Management consistent? → MAYBE

This is a leaning-positive MAYBE. On the things that matter most, management delivered: the flagship brand kept growing, margins stayed in the high teens, Truly Indian beat expectations, the balance sheet stayed debt-free, and dividends kept coming. Management is also refreshingly candid about its misses rather than hiding them. But the record is genuinely mixed: the India Soul brand missed its target by a wide margin and had to be reset, the distribution business went nowhere for about five years, an old US venture (Nate's/PJ's) was quietly abandoned, the Surat plant slipped ~6 months, and — most tellingly — the long-repeated "₹1,000 cr by FY27" headline was softened in the latest call to a ₹925–1,000 cr band with an ₹800–850 cr downside. A steady, honest core story sitting alongside repeated misses on the newer bets and a walk-back on the flagship target is the definition of a mixed record — hence MAYBE, not YES.

Prepared from ADF Foods Ltd earnings-call transcripts (Screener.in), Q1 FY24 through Q4 FY26, cross-checked against Screener financial tables. Figures rounded; every figure is management-reported (consolidated unless noted). This is a reading of what the calls say, not investment advice.